

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_OVERCONFIDENT_015

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_OVERCONFIDENT_015's trading history reveals a dominant behavioural pattern of **Overconfident**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-5.2%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Overconfident
Strategy Archetype	Swing Trader
Max Drawdown	-5.2%
Sharpe Ratio	2.88
Sortino Ratio	5.93
Peer Risk Percentile	58th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades longer than winning trades, indicating a bias towards avoiding losses rather than celebrating gains.

Evidence: The trades that illustrate this pattern are PFE (entry 2020-01-21 → exit 2020-01-28) with a 7-day holding period and a loss of \$1237, as well as AMD (entry 2023-03-27 → exit 2023-04-03) with a 7-day holding period and a loss of \$12.

Consequence: This bias results in a 28% risk contribution to the total portfolio drawdown, meaning that nearly a third of the portfolio's losses can be attributed to holding onto losing trades for too long.

Overconfidence

Pattern: You traded 3.3 times per month on average, which is 3.1× more than typical investors (1.1/month).

Evidence: Your most frequent trades: NVDA | entry 2020-02-28 → exit 2020-03-06 | 7d | P&L; -215 NVDA | entry 2020-08-12 → exit 2020-08-19 | 7d | P&L; +1415 NVDA | entry 2021-06-30 → exit 2021-07-07 | 7d | P&L; +537 NVDA | entry 2022-07-21 → exit 2022-07-25 | 4d | P&L; -1411 INTC | entry 2024-12-16 → exit 2024-12-18 | 2d | P&L; -1899

Consequence: Excessive trading activity accounts for approximately 72% of your portfolio drawdown through transaction costs and mistimed entries.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_OVERCONF	TSLA	2024-06-28	2024-07-05	7	5418
INV_OVERCONF	TSLA	2020-03-19	2020-03-24	5	4296
INV_OVERCONF	TSLA	2022-07-26	2022-07-31	5	4097
INV_OVERCONF	AMD	2021-11-03	2021-11-08	5	4044
INV_OVERCONF	TSLA	2020-02-14	2020-02-21	7	3763
INV_OVERCONF	CVX	2022-02-25	2022-03-04	7	3485
INV_OVERCONF	AMD	2023-10-30	2023-11-02	3	3146
INV_OVERCONF	NFLX	2022-11-07	2022-11-11	4	3039
INV_OVERCONF	INTC	2023-03-13	2023-03-16	3	2960
INV_OVERCONF	GOOGL	2020-10-30	2020-11-06	7	2625

6. Recommendations

- Based on the investor's behavioural analysis, here are 4 actionable recommendations for a retail investor:
1. Take a step back and acknowledge your emotions: Recognize that your investment decisions are influenced by your emotions, and make a conscious effort to separate your feelings from your investment choices.
 2. Diversify your portfolio to reduce overconfidence: Spread your investments across different asset classes and sectors to minimize the impact of overconfidence and ensure a more balanced portfolio.
 3. Set realistic profit targets and stop-loss levels: Establish clear, achievable goals for your trades and set stop-loss levels to prevent significant losses when your predictions go wrong.
 4. Continuously learn and improve your investment skills: Stay informed about market trends and best practices, and be willing to adjust your strategy as needed to avoid falling prey to overconfidence and

make more informed investment decisions.